

Calderwood Partners LLC

www.calderwoodpartners.com

May 4, 2022

DRAFT -- superseded by the final version; not for distribution

James Keller
Director of Operations
Walker-Murray

Re: Margin Recovery Program for Walker-Murray

Dear Mr. Keller:

This letter sets out the terms on which we will carry out a margin recovery program for Walker-Murray. It follows our conversations over the past several weeks and the summary figures your office provided. Below we describe the objective of the work, what it does and does not cover, how we will proceed, who will staff it, and the commercial and legal terms that govern our engagement. When you have countersigned and returned one copy, this letter, together with its signature page, will constitute the agreement between us.

Purpose

The company earns less on its work than its cost position should allow, and the reasons are spread across pricing, procurement, and the mix of products and customers it serves rather than concentrated in any one of them. The purpose of this engagement is to find where margin is being lost, to size each source with figures your own finance team will recognize, and to hand you a short, ordered set of actions that recover it. We are engaged to identify, quantify, and recommend; the decisions that follow, and the running of the business through them, remain yours throughout.

What the Engagement Covers

The work examines the drivers of gross and operating margin across the business. On pricing, we will review realized prices against list, the discipline of discounting, and the terms on which the largest accounts are served. On cost, we will build a baseline of what the company spends to deliver its work, by product line and by function, tied to your management accounts. On mix, we will trace profitability by product and by customer, so that the accounts and lines that earn their keep can be told from those that do not. From that diagnosis we will produce a ranked set of margin recovery initiatives, each with the benefit it is expected to return and the effort it will take to land, together with a sequenced roadmap for putting them into effect.

Matters Outside the Engagement

Certain work sits outside this engagement and can be arranged separately if you want it. We will recommend changes to pricing, terms, and the product and customer portfolio; we will not execute those changes, renegotiate contracts on your behalf, or make decisions that are properly management's. Systems selection and implementation, tax planning, and the legal review of contracts are not within our scope. Where our analysis touches a question we are not engaged to answer, we will say so plainly rather than answer it by assumption.

How We Will Proceed

We begin with your own numbers, not with a benchmark carried in from another company. In the opening weeks we will settle the data request, reconcile a margin baseline to your management accounts, and interview the people who set prices, buy the main inputs, and manage the larger accounts. From that baseline we will identify where margin is lost and size each source, test the recovery initiatives against the evidence before any of them reaches you, and then sequence them into a plan the organization can actually run. Every figure we put in front of you will trace back to one you already recognize.

Who Will Do the Work

Jason Torres, Principal, leads the engagement and will be your day-to-day contact; he is responsible for the analysis and for what we present to you. James Green, Senior Associate, carries the data and cost work and will run the exchange of information with your finance staff. Melissa Casey, Research Associate, handles the pricing and market reference work and the comparisons that place your position in context. I will review the analysis and the recommendations before they reach you and will remain available to you for the duration. You have named James Keller as the company's point of contact for the engagement, and we will route requests for data and access through his office.

Fee and Payment

Our work will be performed for a fixed fee of \$52,000, covering the scope described above and the team named to deliver it. We invoice monthly for the work performed in the preceding month, payable within thirty days of the invoice date. Reasonable out-of-pocket expenses, such as travel to your sites, are billed at cost. Work you ask of us beyond the scope of this letter will not be undertaken on assumption; we will agree it, and its fee, with you in writing before we begin.

Term and Termination

The engagement begins on May 14, 2022 and continues until the recovery initiatives and the roadmap have been delivered and our final invoice paid. Either party may end it on thirty days' written notice to the other. On termination you will pay us for the work performed and the expenses incurred through the effective date, and we will deliver our work product in the state it then stands, together with a note of what remained to be done.

Confidentiality

We will treat the information you give us as confidential and use it solely for this engagement. Access to it is limited to the team named above and to those within our office whose work requires it. We will not disclose your information outside the firm without your written consent, except where compelled by a court or regulator with jurisdiction, and in that event we will notify you beforehand if we are lawfully able to. This obligation survives the end of the engagement.

Limitation of Liability

Our aggregate liability to you arising out of this engagement, whether framed in contract or in tort, will not exceed the total fees paid to us under it, except in the case of our fraud or willful misconduct. Neither party will be liable to the other for indirect or consequential loss, including lost profits, whether or not its possibility was known. Our conclusions rest on the accuracy and completeness of the information you provide, which we do not independently audit.

Governing Law

This agreement is governed by the laws of the state in which our principal office is located, without regard to its conflict-of-laws provisions. Should a dispute arise, the parties will first attempt to resolve it through discussion between their senior representatives before either commences proceedings. This letter and its signature page are the entire agreement between us on their subject and may be amended only in a writing signed by both parties.

If these terms reflect your understanding, please countersign both copies where indicated, retain one for your records, and return the other to this office. If anything here does not, telephone me and we will settle it before you sign. We are glad to be undertaking this work with Walker-Murray and are ready to begin as soon as the countersigned letter is back with us.

Sincerely,